50% of agreed deals never close, as they do not make it through the due diligence stage

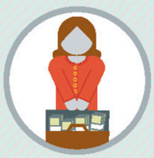
Benchmark International, 2020

1 Valuing the business

- **Calculate the value** of your business. A rough estimate of this would be three times annual profit, but this will vary widely and depend on market conditions.
- **Research** the prospects of your market sector and take into account how this might affect your valuation.
- **Be honest about figures**, even if you are losing money.

2 Preparing documents and contracts

- **Compile records** documenting the financial history of the business, and seek advice regarding the tax implications of your sale.
- **List all of the assets** that will be included in the sale.
- **Include** any regulatory certificates and licenses for your business premises.

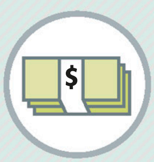


3 Finding a buyer

- **Seek professional help** through a broker, who can provide advice and guide you through the selling process.
- **Continue your involvement** in the sale and actively promote it, even if you are using a broker.
- **Screen potential buyers** to make sure they are genuine.

4 Negotiating an agreement

- **Research your buyer**, and decide on the minimum figure you would accept from them.
- **Discuss the deal structure**, including the payout, and the shares or assets to be transferred.
- **Agree on a handover process**, including what will happen to existing staff.



5 Managing the profits

- **Take time to consider** what you will do with the sale proceeds instead of spending them right away.
- **Set out your financial goals**, such as retirement or paying off debt, and plan for them.